

KAVIPAY LIMITED

(A subsidiary of PloutosLabs International Ltd | RC-8059896)

KNOW YOUR CUSTOMER (KYC) AND CUSTOMER DUE DILIGENCE POLICY

Effective Date: 27 April 2026 | Version 1.0

DOCUMENT CONTROL

Document Title	KYC and Customer Due Diligence Policy
Owning Entity	Kavipay Limited (PloutosLabs International Ltd)
Policy Owner	Chief Compliance Officer / MLRO
Approving Authority	Board of Directors, PloutosLabs International Ltd
Version	1.0
Effective Date	27 April 2026
Next Review Date	27 April 2027 (or earlier upon regulatory change)
Classification	Internal — Regulatory Disclosure

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1. INTRODUCTION AND STATEMENT OF COMMITMENT

1.1 Purpose

Kavipay Limited ("Kavipay", "the Company", "we", "us" or "our"), a wholly-owned subsidiary of PloutosLabs International Ltd (RC-8059896), is committed to the highest standards of integrity, transparency and regulatory compliance in the conduct of its financial services business. This Know Your Customer ("KYC") and Customer Due Diligence ("CDD") Policy ("the Policy") establishes the principles, standards and procedures that Kavipay applies to identify, verify and continuously monitor every person and entity with which it establishes a business relationship.

The Policy is designed to ensure that Kavipay does not knowingly or unknowingly facilitate money laundering, terrorism financing, proliferation financing, fraud, identity theft, sanctions evasion, tax evasion or any other financial crime through the Kavipay platform, mobile application, virtual and physical card products, or affiliated services.

1.2 Statement of Commitment

The Board of Directors and Executive Management of Kavipay Limited unconditionally commit the Company to:

- Verifying the true identity of every customer before establishing a business relationship or executing any transaction.
- Applying a risk-based approach to customer onboarding and ongoing monitoring, in line with the standards of the Financial Action Task Force (FATF) and the Central Bank of Nigeria (CBN).
- Refusing to do business with any person or entity whose identity, source of funds or business activity cannot be satisfactorily verified.
- Cooperating fully with the Nigerian Financial Intelligence Unit (NFIU), the Central Bank of Nigeria (CBN), the Securities and Exchange Commission (SEC) Nigeria, the Economic and Financial Crimes Commission (EFCC), and any other competent authority.
- Allocating sufficient resources, technology and trained personnel to the implementation of this Policy.
- Reviewing and updating this Policy at least annually, or earlier where regulatory or operational developments require.

1.3 Policy Objectives

The specific objectives of this Policy are to:

1. Establish a standardised KYC framework for the onboarding of all Kavipay customers — retail, corporate and institutional.

2. Define minimum identification, verification and documentation requirements for each customer category.
3. Establish a tiered customer risk rating system aligned with the CBN's three-tier KYC framework and Kavipay's internal risk appetite.
4. Establish procedures for the identification of beneficial owners, politically exposed persons and high-risk customers.
5. Set out clear roles, responsibilities and escalation pathways for KYC compliance failures and exceptions.
6. Ensure full alignment with the Money Laundering (Prevention and Prohibition) Act 2022, the Terrorism (Prevention and Prohibition) Act 2022, the Investments and Securities Act (ISA) 2025, the CBN AML/CFT/CPF Regulations 2022 (as amended), and the Nigeria Data Protection Act 2023.

2. DEFINITIONS AND INTERPRETATION

In this Policy, unless the context otherwise requires, the following terms shall have the meanings ascribed to them below:

Term	Definition
AML	Anti-Money Laundering — measures and procedures to prevent the conversion of illicitly-obtained funds into apparently legitimate assets.
CFT	Combating the Financing of Terrorism — measures to prevent funds being made available, directly or indirectly, for terrorist purposes.
CDD	Customer Due Diligence — the process of identifying a customer, verifying their identity, understanding the nature of the business relationship, and conducting ongoing monitoring.
EDD	Enhanced Due Diligence — additional verification and monitoring measures applied to higher-risk customers, products or jurisdictions.
SDD	Simplified Due Diligence — reduced verification measures applied to demonstrably low-risk customers, where permitted by law.
Beneficial Owner	A natural person who ultimately owns or controls a customer, or on whose behalf a transaction is being conducted, including any person exercising effective control over a legal person or arrangement (typically 5% or more direct or indirect interest).
BVN	Bank Verification Number — the unique 11-digit identifier issued by the

Term	Definition
	Nigeria Inter-Bank Settlement System (NIBSS) on behalf of the CBN.
CBN	Central Bank of Nigeria.
Customer	Any natural or legal person who has applied for or holds an account, card, wallet, token or other product or service offered by Kavipay.
KYC	Know Your Customer — the body of policies and procedures used to verify the identity of customers and assess the suitability of the business relationship.
MLRO	Money Laundering Reporting Officer — the senior officer designated under Nigerian law to receive, investigate and report internal suspicions of money laundering or terrorism financing.
NFIU	Nigerian Financial Intelligence Unit — the national agency responsible for receiving, analysing and disseminating financial intelligence reports.
NIN	National Identification Number — the unique 11-digit identifier issued by the National Identity Management Commission (NIMC).
PEP	Politically Exposed Person — a natural person entrusted with a prominent public function, including their family members and close associates.
STR / SAR	Suspicious Transaction Report / Suspicious Activity Report — reports filed with the NFIU regarding transactions or activity suspected of being linked to financial crime.
VASP	Virtual Asset Service Provider — as defined under the Investments and Securities Act 2025 and SEC Rules on Digital Assets.

3. REGULATORY FRAMEWORK

This Policy is made pursuant to, and shall be construed and applied in conformity with, the following primary and subsidiary legislation, regulations, guidelines and international standards:

3.1 Nigerian Primary Legislation

- The Money Laundering (Prevention and Prohibition) Act 2022.
- The Terrorism (Prevention and Prohibition) Act 2022.
- The Proceeds of Crime (Recovery and Management) Act 2022.
- The Investments and Securities Act (ISA) 2025.

- The Banks and Other Financial Institutions Act (BOFIA) 2020.
- The Nigeria Data Protection Act 2023.
- The Cybercrimes (Prohibition, Prevention, etc.) Act 2015 (as amended).
- The Companies and Allied Matters Act (CAMA) 2020.
- The Federal Inland Revenue Service (Establishment) Act and the Income Tax (Country-by-Country Reporting) Regulations.

3.2 Subsidiary Regulations and Guidelines

- The CBN AML/CFT/CPF Regulations 2022 (as amended from time to time).
- The CBN Three-Tiered KYC Requirements (Tier 1, Tier 2, Tier 3).
- The CBN Guidelines on Operations of Electronic Payment Channels.
- The CBN Consumer Protection Regulations 2019.
- The SEC Rules on the Issuance, Offering Platforms and Custody of Digital Assets.
- The NFIU Guidelines on Cash-Based Transactions and Threshold Reporting.
- The NDPC General Application and Implementation Directive (GAID) under the Nigeria Data Protection Act.

3.3 International Standards

- The Financial Action Task Force (FATF) Forty Recommendations on AML/CFT.
- The FATF Recommendation 16 (Wire Transfers — Travel Rule) for Virtual Asset transfers.
- The Wolfsberg Group Anti-Money Laundering Principles.
- The Basel Committee on Banking Supervision Customer Due Diligence guidance.
- The United Nations Security Council Sanctions Lists (UNSC 1267, 1373 and successor regimes).
- The Office of Foreign Assets Control (OFAC) Specially Designated Nationals (SDN) List.
- The European Union Consolidated Sanctions List.
- Where applicable, the Common Reporting Standard (CRS) and the United States Foreign Account Tax Compliance Act (FATCA).

3.4 Hierarchy in the Event of Conflict

In the event of any conflict between this Policy and the regulations cited above, the regulations shall prevail. The Chief Compliance Officer is responsible for monitoring legislative and regulatory developments and updating this Policy accordingly.

4. SCOPE AND APPLICABILITY

4.1 Persons Covered

This Policy applies to:

- All directors, officers, employees, secondees, contractors, interns and agents of Kavipay Limited and PloutosLabs International Ltd.
- All third-party service providers, introducers, agents and outsourced KYC partners acting on behalf of Kavipay (including, but not limited to, Sudo Africa, Payscribe, Safe Haven Microfinance Bank, KYCAID and any other identity-verification provider engaged from time to time).
- All customers — retail, corporate, institutional and merchant — who hold or apply to hold any product or service issued or distributed by Kavipay.

4.2 Products and Services Covered

This Policy applies to the full range of Kavipay's products and services, including without limitation:

- Kavipay virtual VISA and Mastercard payment cards (issued through Sudo Africa and Payscribe).
- Kavipay physical Verve and Afrigo cards.
- Naira-denominated wallet sub-accounts and NUBAN accounts hosted with Safe Haven Microfinance Bank.
- Cryptocurrency funding and on-ramp / off-ramp services connected to the Kavipay wallet.
- Bill payment and value-added services (airtime, data, electricity, cable TV, education and insurance payments).
- Where applicable to Kavipay customers, ancillary access to the \$PLTL token, the Caifu yield vault and Skyddawallet products operated by other PloutosLabs entities.

4.3 Geographical Scope

Kavipay's principal market is the Federal Republic of Nigeria. Where Kavipay onboards customers from other jurisdictions, the higher of the local jurisdictional standard and this Policy shall apply, and any additional requirements imposed by the laws of those jurisdictions shall be observed.

5. GOVERNANCE AND ACCOUNTABILITY

5.1 The Board of Directors

The Board of Directors of PloutosLabs International Ltd, as the parent of Kavipay Limited, holds ultimate accountability for the establishment, oversight and effectiveness of this Policy. The Board shall:

- Approve this Policy and any material amendments.
- Receive at least quarterly reports from the Chief Compliance Officer on KYC performance, exceptions and regulatory developments.
- Ensure that adequate resources, technology and personnel are made available for the implementation of this Policy.
- Maintain a culture of compliance throughout the Kavipay organisation.

5.2 The Chief Executive Officer

The Chief Executive Officer (CEO) is responsible for the day-to-day execution of this Policy and shall ensure that all business decisions are taken in conformity with the Company's KYC, AML and regulatory obligations. The CEO shall be a Nigerian resident in line with the requirements of the Investments and Securities Act 2025.

5.3 The Chief Compliance Officer / MLRO

The Chief Compliance Officer (CCO), who also serves as the Money Laundering Reporting Officer (MLRO), is the senior officer responsible for the implementation, supervision and continuous improvement of this Policy. The CCO shall:

- Be of sufficient seniority, independence and expertise to perform the role effectively.
- Have direct, unimpeded reporting access to the Board of Directors.
- Review and approve all customer onboarding decisions where Enhanced Due Diligence is required.
- Maintain the customer risk register and the high-risk customer file.
- Coordinate the filing of Suspicious Transaction Reports and Currency Transaction Reports with the NFIU.
- Liaise with the CBN, SEC, NFIU, EFCC and other regulators on all KYC and AML matters.
- Be a Sponsored Individual registered with the SEC (where required under ISA 2025).

5.4 The Compliance and KYC Operations Team

The Compliance and KYC Operations Team is responsible for:

- Performing day-to-day customer identification and verification.
- Reviewing KYC documentation and resolving exceptions.
- Conducting sanctions, PEP and adverse-media screening.

- Performing ongoing monitoring of customer activity.
- Escalating high-risk cases to the CCO for decisioning.

5.5 Three Lines of Defence

Kavipay operates a Three Lines of Defence governance model:

Line	Owner	Responsibility
First Line	Operations, Customer Service, Product Teams	Frontline application of KYC procedures during onboarding and operations.
Second Line	Compliance, Risk, Legal	Independent oversight, policy interpretation, monitoring and escalation.
Third Line	Internal Audit / External Audit	Independent assurance of the design and operating effectiveness of KYC controls.

6. CUSTOMER ACCEPTANCE POLICY

6.1 Eligibility Requirements

Kavipay shall only establish a business relationship with a prospective customer who satisfies all of the following minimum eligibility criteria:

- Is a natural person aged eighteen (18) years or older, or, in the case of a legal person, is a duly incorporated and active entity.
- Provides verifiable identification documentation as set out in this Policy.
- Provides a verifiable physical address (for Tier 2 and Tier 3 retail customers, and for all corporate customers).
- Has not been listed on any sanctions list, terrorist designation list, or list of debarred persons accessible to Kavipay.
- Has not been the subject of an adverse media or law-enforcement disclosure that would, in the reasonable judgment of the Compliance Function, render the business relationship unsuitable.
- Confirms that the source of funds to be used in the relationship is lawful.
- Accepts and consents to the Kavipay Terms of Service, Privacy Policy and this KYC Policy.

6.2 Prohibited Customers and Relationships

Kavipay shall not, under any circumstances, knowingly enter into or maintain a business relationship with:

- Anonymous customers, customers using fictitious names, or customers refusing to disclose beneficial ownership.
- Persons or entities listed on the United Nations, OFAC, EU, UK or Nigerian sanctions lists.
- Shell banks (banks with no physical presence and no affiliation with a regulated financial group).
- Money services businesses operating without proper licensing.
- Persons known or reasonably suspected to be engaged in money laundering, terrorism financing, fraud, illicit drug trafficking, human trafficking, child exploitation, illegal arms dealing, or any other predicate offence under Nigerian law.
- Persons or entities operating in jurisdictions identified by the FATF as "high-risk" or "under increased monitoring", except where the relationship is approved in writing by the CCO and subject to Enhanced Due Diligence.
- Customers who refuse, fail or are unable to provide the documentation required under this Policy.

6.3 Restricted Activities

Kavipay's products shall not be used, directly or indirectly, for the following purposes, and any account identified as being used for these purposes shall be subject to immediate review and possible termination:

- Online or offline gambling not licensed in Nigeria.
- Adult content or services classified as illegal under Nigerian law.
- The purchase or sale of unregistered securities, including unregistered virtual assets.
- Multi-level marketing schemes whose principal purpose is the recruitment of further participants rather than the sale of bona-fide goods or services.
- The financing of unlawful political activity.
- Any activity which Kavipay reasonably suspects to be in breach of Nigerian law or this Policy.

7. CUSTOMER IDENTIFICATION PROGRAMME (CIP)

7.1 Identification Principles

Kavipay shall identify and verify the identity of every customer before establishing a business relationship and before executing any transaction. Identification means obtaining the data items necessary to identify the customer; verification means confirming, on the basis of reliable, independent source documents, data or information, that the data items are accurate.

7.2 Mandatory Data Items — Natural Persons

For every natural-person customer, Kavipay shall collect, at minimum:

- Full legal name (as appearing on government-issued identification).
- Date of birth.
- Place of birth.
- Gender.
- Nationality.
- Residential address (street, city, state, postcode, country).
- Mobile telephone number (verified by one-time-password).
- Email address (verified by confirmation link).
- Bank Verification Number (BVN), where the customer is Nigerian or holds a Nigerian bank account.
- National Identification Number (NIN), where applicable.
- Government-issued photographic identification — National ID Card, International Passport, Driver's Licence or Permanent Voter's Card.
- Live selfie / liveness check matched against the photographic identification.
- Source of funds and source of wealth (Tier 3 only).
- Occupation, employer and nature of business.
- Tax Identification Number (TIN), where required.

7.3 Mandatory Data Items — Legal Persons

For every corporate, partnership, trust, association or other legal-person customer, Kavipay shall collect, at minimum:

- Full registered name and any trading names.
- Certificate of Incorporation and CAC Registration Number.
- Memorandum and Articles of Association (or equivalent constitutional document).
- CAC Status Report (Form CAC 1.1 / CAC 7A) showing current directors and shareholders.
- Tax Identification Number (TIN).
- Registered office address and principal place of business.
- Corporate banking details.

- Board resolution authorising the relationship with Kavipay and identifying authorised signatories.
- Identity documents (per Section 7.2) for all directors, all authorised signatories and all beneficial owners holding 5% or more of the entity.
- Description of the business activity, expected transaction volumes and source of corporate funds.
- Any sector-specific licences (banking, insurance, securities, betting, etc.).

7.4 Verification Sources

Kavipay shall verify customer identity using a combination of the following independent sources:

- BVN verification through the Nigeria Inter-Bank Settlement System (NIBSS), accessed via Safe Haven Microfinance Bank.
- NIN verification through the National Identity Management Commission (NIMC).
- Document verification and optical character recognition through KYCAID or an equivalent licensed identity verification provider.
- Liveness detection and biometric face-match against the photographic identification.
- Address verification through utility bills, bank statements or geo-tagged mobile location, where applicable.
- Corporate Affairs Commission (CAC) public search portal for legal-person verification.
- Sanctions, PEP and adverse-media screening through approved screening tools.

8. KYC TIERS AND VERIFICATION REQUIREMENTS

Kavipay applies a three-tier KYC framework that is fully aligned with the CBN Three-Tiered KYC Requirements and is calibrated to Kavipay's product risk and customer experience objectives. A customer's tier determines the products available, the transaction limits applicable, and the level of due diligence required.

8.1 Tier 0 — Pre-Verification (Onboarding-in-Progress)

Tier 0 represents the initial stage of customer onboarding immediately following self-registration in the Kavipay app. At Tier 0, the customer has provided basic contact details but has not completed identity verification. Tier 0 status is permitted only for a maximum of seven (7) days from registration, after which an unverified account is automatically suspended pending KYC completion.

8.2 Tier 1 — Basic Verification

Tier 1 is the minimum verified customer status. The customer has completed BVN verification and provided a single government-issued identification document and a live selfie. Tier 1 customers may access basic Kavipay services, including a virtual card with low transaction limits, but may not access international payment functionality or hold large balances.

8.3 Tier 2 — Standard Verification

Tier 2 is the standard customer status for the majority of Kavipay retail users. The customer has completed Tier 1 verification, provided proof of address (utility bill, bank statement or rental agreement not older than three months) and confirmed occupation or business. Tier 2 customers have access to the full range of Kavipay retail products at standard limits.

8.4 Tier 3 — Enhanced Verification

Tier 3 is the highest level of customer verification. The customer has completed Tier 2 verification, provided documentary evidence of source of funds and source of wealth, and undergone Enhanced Due Diligence. Tier 3 customers benefit from the highest transaction limits and may access premium products. Tier 3 is mandatory for Politically Exposed Persons, customers in high-risk industries, and customers operating across borders.

8.5 Tier Summary Table

Tier	Verification Requirements	Daily Transaction Limit	Maximum Balance
Tier 0	Email + Phone OTP only. Time-limited (7 days).	Nil — view only	Nil
Tier 1	BVN + 1 government photo ID + selfie + liveness check.	₦50,000	₦300,000
Tier 2	Tier 1 + NIN + proof of address (≤ 3 months old) + occupation.	₦200,000	₦500,000
Tier 3	Tier 2 + source of funds documentation + source of wealth + EDD review.	₦5,000,000	Unlimited (subject to monitoring)

The limits stated above are indicative and shall be reviewed by the Chief Compliance Officer at least annually, taking into account regulatory updates from the Central Bank of Nigeria, inflation, product evolution and the Company's risk appetite. The current operative limits are published in the Kavipay app and on the Kavipay website.

8.6 Tier Upgrade and Downgrade

Customers may upgrade their tier at any time through the in-app KYC flow. Kavipay reserves the right, on its own motion or in response to risk indicators, to require a customer to upgrade their tier or to downgrade a customer to a lower tier (or to suspend the account) where it has reason to believe that the customer's verification status no longer matches their actual or attempted use of the platform.

9. CUSTOMER DUE DILIGENCE (CDD)

9.1 When CDD is Performed

Standard Customer Due Diligence shall be performed in each of the following circumstances:

- At the inception of every business relationship.
- Before executing any occasional transaction equal to or exceeding ₦5,000,000 (or its foreign-currency equivalent), whether as a single transaction or as a series of linked transactions.
- Whenever there is a suspicion of money laundering, terrorism financing or other financial crime, regardless of the value of the transaction.
- Whenever Kavipay has doubts about the veracity or adequacy of customer identification information previously obtained.
- At any other time when, in the judgment of the CCO, it is appropriate to do so.

9.2 Components of CDD

CDD comprises the following four components, each of which shall be completed before the relationship proceeds:

7. Identification of the customer and verification of their identity using reliable, independent source documents, data or information.
 8. Identification of the beneficial owner of the customer (where the customer is a legal person) and taking reasonable measures to verify their identity.
 9. Understanding and, as appropriate, obtaining information on the purpose and intended nature of the business relationship.
 10. Conducting ongoing due diligence on the business relationship, including scrutiny of transactions undertaken throughout the course of the relationship to ensure consistency with the Company's knowledge of the customer.
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10. ENHANCED DUE DILIGENCE (EDD)

10.1 Trigger Events

Enhanced Due Diligence shall be applied to all higher-risk customers and circumstances, including but not limited to:

- Politically Exposed Persons, their family members and close associates.
- Customers resident or operating in countries identified by the FATF as high-risk or under increased monitoring.
- Customers in higher-risk industries (cash-intensive businesses, precious metals and stones dealers, art dealers, virtual asset service providers, money services businesses, gambling, real estate, charities, and others identified from time to time).
- Customers whose pattern of transactions is unusually large, complex or inconsistent with their stated profile.
- Non-face-to-face customers where there is doubt about the authenticity of the documentation.
- Customers introduced through unrelated third-party referrers.
- Any other customer category designated as high-risk by the CCO.

10.2 EDD Measures

Where EDD is required, Kavipay shall apply one or more of the following additional measures:

- Obtaining additional identification documents and corroborating information from independent sources.
 - Obtaining detailed information on the customer's source of funds and source of wealth, supported by documentary evidence (bank statements, audited financial statements, tax returns, sale-of-asset documentation, employment contracts, etc.).
 - Obtaining the prior approval of senior management (CCO and, for Tier 3, CEO) before establishing or continuing the business relationship.
 - Conducting on-site visits to the customer's place of business or residence, where appropriate and lawful.
 - Increasing the frequency of ongoing monitoring (e.g., monthly transaction review rather than quarterly).
 - Lower thresholds for the generation of monitoring alerts.
 - Periodic refresh of all KYC documentation at least every twelve (12) months.
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11. SIMPLIFIED DUE DILIGENCE (SDD)

Simplified Due Diligence may be applied only where Kavipay has identified, through documented risk assessment, that the customer or product presents a demonstrably low risk of money laundering or terrorism financing, and only where SDD is permitted by the applicable regulatory framework. SDD shall not be applied where there is suspicion of money laundering, terrorism financing or any other criminal activity.

SDD measures may include reduced documentation at onboarding, longer intervals between periodic KYC refreshes, and reduced monitoring intensity. The CCO shall maintain a written record of every customer or product category to which SDD is applied and the supporting risk rationale.

12. POLITICALLY EXPOSED PERSONS (PEPs)

12.1 Identification of PEPs

A Politically Exposed Person is a natural person who is or has been entrusted with a prominent public function. The definition includes domestic PEPs, foreign PEPs and persons entrusted with prominent functions by international organisations, and extends to family members and close associates.

Examples of prominent public functions include, without limitation:

- Heads of state or government, ministers and deputy ministers.
- Members of the National Assembly, State Houses of Assembly and federal or state cabinets.
- Senior judicial, military or police officers.
- Senior executives of state-owned enterprises and central banks.
- Senior officials of political parties and senior officials of international organisations.
- Ambassadors, chargés d'affaires and senior diplomatic officers.

12.2 Treatment of PEPs

Every PEP, family member of a PEP and close associate of a PEP identified during onboarding or ongoing monitoring shall:

- Be subject to Enhanced Due Diligence as described in Section 10.
- Be onboarded only with the prior written approval of the Chief Compliance Officer; for foreign PEPs and high-profile domestic PEPs, the approval of the CEO is also required.
- Provide documentary evidence of source of funds and source of wealth.
- Be subject to enhanced ongoing monitoring of all transactions.

- Have their KYC profile reviewed and refreshed not less than once every twelve (12) months.

PEP status, where it ceases (e.g., the person leaves office), shall continue to be applied for a minimum of twelve (12) months thereafter, and longer where the residual risk justifies.

13. BENEFICIAL OWNERSHIP IDENTIFICATION

13.1 Definition

A beneficial owner is the natural person who, directly or indirectly, ultimately owns or controls a customer, or on whose behalf a transaction is conducted, including any person exercising effective control over a legal person or arrangement. For the purposes of this Policy, any natural person holding a direct or indirect interest of 5% or more in a corporate customer is presumed to be a beneficial owner, unless the contrary is shown.

13.2 Identification Procedures

For all corporate, partnership, trust and other legal-person customers, Kavipay shall:

- Identify the beneficial owners by reviewing the shareholder register, the CAC status report, and any shareholder agreements or trust deeds.
- Where ownership is layered through holding companies or trusts, trace the chain of ownership to its ultimate natural-person beneficial owners.
- Verify the identity of each beneficial owner using the same documentation required for natural-person customers under Section 7.2.
- Identify any natural person exercising effective control through other means, including senior management positions, where ownership cannot be traced to a natural person holding 5% or more.
- Refuse to onboard the customer where the beneficial ownership cannot be satisfactorily established.

13.3 Ongoing Monitoring of Beneficial Ownership

Kavipay shall require all corporate customers to notify the Company within fourteen (14) days of any change in beneficial ownership, and shall reverify beneficial ownership at least once every twelve (12) months for high-risk customers and every twenty-four (24) months for standard-risk customers.

14. SANCTIONS AND WATCHLIST SCREENING

14.1 Lists Used

Every prospective customer, every beneficial owner, every authorised signatory and, where appropriate, every counterparty to a transaction shall be screened in real time against, at minimum, the following lists:

- The United Nations Security Council Consolidated Sanctions List.
- The OFAC Specially Designated Nationals (SDN) and Sectoral Sanctions Identifications lists.
- The European Union Consolidated Financial Sanctions List.
- The United Kingdom HM Treasury Consolidated List.
- The Nigerian Sanctions List published by the Nigerian Sanctions Committee under the Terrorism (Prevention and Prohibition) Act 2022.
- Politically Exposed Persons databases.
- Adverse media databases covering financial crime, fraud, bribery and corruption.

14.2 Frequency of Screening

Screening shall be performed:

- At onboarding, before any account or product is activated.
- Continuously thereafter through automated rescreening of the customer base against updated lists, with daily refresh as a minimum.
- On every cross-border or high-value transaction, against the relevant counterparty information.

14.3 Treatment of Matches

Where a screening alert is generated, the alert shall be reviewed promptly by the Compliance Function. False-positive matches shall be cleared with documented reasoning. Confirmed or unresolved matches shall be:

- Escalated immediately to the CCO.
- Investigated through the Suspicious Activity review process.
- Reported to the NFIU where required by law.
- Reported to other competent authorities as required by the relevant sanctions regime.
- The relevant transaction or relationship blocked, frozen or terminated as required.

15. ONGOING MONITORING AND PERIODIC REVIEW

15.1 Purpose

Ongoing monitoring is the continuous process by which Kavipay scrutinises customer activity to ensure that it remains consistent with the Company's knowledge of the customer, the customer's risk profile, and the customer's stated source of funds. Ongoing monitoring is the principal mechanism by which suspicious activity is identified.

15.2 Transaction Monitoring

Every transaction processed through the Kavipay platform shall be subject to automated, rules-based transaction monitoring. The monitoring system shall be configured to generate alerts for, among other things:

- Transactions exceeding the customer's expected activity profile.
- Round-amount, structured or layered transactions designed to avoid reporting thresholds.
- Cash-equivalent or virtual-asset transactions exceeding regulatory thresholds.
- Cross-border transactions involving high-risk jurisdictions.
- Multiple cards or accounts linked to a single device, IP address or biometric identity.
- High-velocity or high-volume activity inconsistent with the customer's tier.
- Activity that follows known typologies of fraud, scam, romance fraud or business-email-compromise.
- Unusual chargeback or dispute patterns.

15.3 Periodic KYC Refresh

Kavipay shall perform a periodic refresh of customer KYC data on the following basis:

Customer Risk Rating	Refresh Frequency	Trigger Events
Low	Every 36 months	Material change in customer profile.
Medium	Every 24 months	Threshold breach, material profile change, adverse media.
High	Every 12 months	Any unusual transaction, sanctions hit, PEP designation.

15.4 Trigger-Based Review

Independently of the periodic-refresh schedule, the Compliance Function shall conduct an immediate review of a customer's KYC profile upon the occurrence of any of the following events:

- A sanctions, PEP or adverse-media match.
- A material change in transaction patterns.
- A request for an upgrade in customer tier or product.
- A complaint or dispute giving rise to KYC concerns.
- An information request from a competent authority.
- Any other event reasonably indicating that the customer's KYC profile may no longer be accurate.

16. RISK ASSESSMENT AND CUSTOMER RISK RATING

16.1 Risk-Based Approach

Kavipay applies a risk-based approach to KYC, in line with the FATF Recommendations and CBN guidance. Resources are allocated to higher-risk customers, products, channels and jurisdictions; lower-risk relationships are subject to simplified or standard measures. The risk-based approach is documented, justified and applied consistently across the customer base.

16.2 Risk Factors Considered

In assigning a customer risk rating, the Compliance Function shall consider, at minimum, the following risk factors:

- Customer risk: customer type (natural / legal person), occupation, industry, PEP status, adverse media.
- Geographic risk: country of residence, country of citizenship, country of operation, country of source of funds.
- Product and service risk: product complexity, anonymity potential, transaction value, cross-border functionality, virtual-asset exposure.
- Channel risk: face-to-face vs. non-face-to-face onboarding, third-party introduction, agent network usage.
- Transaction risk: expected volume and frequency, counterparty profile.

16.3 Customer Risk Categories

Each customer is assigned to one of three risk categories:

- Low Risk — customers whose profile, products and activity present no material money-laundering or terrorism-financing concern.

- Medium Risk — the standard risk category for customers who do not meet the criteria for low or high risk.
- High Risk — customers exhibiting one or more elevated risk factors, including PEP status, high-risk jurisdiction exposure, or unusual transaction patterns.

The customer's risk category determines the applicable due diligence intensity, monitoring frequency and KYC refresh cycle.

17. NON-FACE-TO-FACE VERIFICATION (DIGITAL ONBOARDING)

Kavipay's primary onboarding channel is its mobile application, which uses non-face-to-face verification. Kavipay recognises that non-face-to-face onboarding presents specific risks, including the use of stolen or synthetic identities, deep-fake media and document fraud. To address these risks, Kavipay applies the following minimum controls to all digital onboarding flows:

- Live biometric capture: a video-based liveness check that detects 3D depth, micro-expressions and motion to defeat deep-fake and photo-replay attacks.
- Document authentication: machine-readable-zone (MRZ) parsing, security-feature recognition, hologram detection and tamper detection on government-issued ID documents.
- Face-match: 1:1 biometric comparison of the live selfie against the photograph on the ID document, with a minimum confidence threshold defined by the Compliance Function.
- Device intelligence: device fingerprinting, IP geolocation, VPN/Tor detection and emulator detection at registration and login.
- BVN cryptographic confirmation: real-time confirmation through NIBSS that the BVN is active and matches the supplied biographic data.
- NIN match: confirmation that the NIN belongs to the same natural person.
- Phone-number SIM-swap and porting checks, where available.
- Anti-mule controls: blocking of multiple accounts created from the same device, biometric or BVN.

Where the digital onboarding controls return ambiguous or low-confidence outcomes, the customer is referred to manual review by the Compliance Operations Team. Where manual review cannot resolve the ambiguity, the application is rejected.

18. RELIANCE ON THIRD PARTIES

18.1 Permitted Reliance

Kavipay may rely on third-party regulated institutions to perform elements of CDD, but only where:

- The third party is itself subject to AML/CFT regulation in Nigeria or in a jurisdiction with equivalent standards.
- There is a written agreement in place that defines responsibilities and permits Kavipay to obtain identification data and copies of underlying documentation immediately upon request.
- Kavipay has satisfied itself, through due diligence, that the third party's KYC programme is robust.
- Final responsibility for compliance with this Policy remains with Kavipay.

18.2 Current Outsourced Partners

Kavipay currently relies, in whole or in part, on the following third parties for elements of the KYC and identity-verification process:

- Safe Haven Microfinance Bank — for BVN verification, NUBAN account creation and core banking KYC integration, under an executed Service Level Agreement.
- Sudo Africa — for card-issuance KYC controls and PCI-compliant card data handling, under an executed Service Level Agreement.
- Payscribe — for card-issuance KYC controls under an executed Service Level Agreement.
- KYCAID (or equivalent) — for international document verification, NIN matching and biometric liveness, where applicable.

Notwithstanding any reliance on these partners, the ultimate responsibility for the accuracy, sufficiency and timeliness of customer KYC remains with Kavipay Limited.

19. RECORD KEEPING

19.1 Records to be Maintained

Kavipay shall maintain, in respect of every customer, a complete record comprising:

- All identification documents and supporting verification evidence.
- All risk assessments and risk-rating decisions.
- All sanctions, PEP and adverse-media screening results, including alert dispositions and reasoning.
- All transaction records, including counterparties, amounts, dates and channels.

- All correspondence with the customer relating to KYC.
- All Suspicious Transaction Reports filed in respect of the customer, and all internal reports underlying them.
- All records of EDD reviews, beneficial-ownership investigations and management approvals.

19.2 Retention Period

KYC records shall be retained for a minimum of seven (7) years from the later of (i) the date on which the business relationship ends, or (ii) the date of the relevant transaction. Records relating to ongoing investigations or legal proceedings shall be retained for as long as required by the investigating authority or court.

19.3 Form and Accessibility of Records

Records shall be maintained in a form that permits prompt reconstruction of the relationship and individual transactions. They shall be securely stored, with access restricted to authorised personnel, and shall be made available without delay upon lawful request by the CBN, the SEC, the NFIU, the EFCC or any other competent authority.

20. DATA PROTECTION AND CONFIDENTIALITY

All personal data collected, used and stored under this Policy shall be processed in accordance with the Nigeria Data Protection Act 2023 and the Kavipay Privacy Policy. The lawful basis for processing personal data for KYC purposes is compliance with a legal obligation, in addition to the customer's consent obtained at onboarding.

Kavipay shall:

- Collect only the personal data necessary for the KYC purpose.
- Process personal data only for the purposes specified at the time of collection.
- Apply appropriate technical and organisational security measures, including encryption-at-rest and encryption-in-transit, role-based access controls and audit logging.
- Disclose personal data to third parties only where permitted or required by law, or with the customer's express consent.
- Retain personal data for no longer than is necessary for the KYC and AML purposes set out in Section 19.
- Respond to data-subject rights requests in accordance with the Nigeria Data Protection Act and the Kavipay Privacy Policy.

Customer KYC information shall be treated as confidential and shall not be disclosed except to authorised persons within Kavipay, to its regulated outsourced partners under contract, or to competent authorities pursuant to lawful process.

21. CUSTOMER REFUSAL, SUSPENSION AND TERMINATION

21.1 Refusal of Business

Kavipay shall refuse to establish, or shall terminate, a business relationship where:

- The customer fails or is unable to provide the documentation required by this Policy.
- The customer is on a sanctions list or designated as a terrorism financier.
- The customer's identity, source of funds or business activity cannot be satisfactorily verified.
- The Compliance Function reasonably suspects that the customer is engaged in money laundering, terrorism financing, fraud or any other financial crime.
- Maintaining the relationship would, in the reasonable judgment of the CCO, expose Kavipay to legal, regulatory or reputational risk that is unacceptable.

21.2 Suspension

Kavipay reserves the right to suspend a customer's account, freeze funds or restrict product functionality where it is conducting an investigation or where the customer's KYC profile is incomplete or inconsistent. Suspension shall be promptly reviewed and the customer informed of the action where lawful.

21.3 Tipping Off

Where suspension or termination is undertaken in connection with a Suspicious Transaction Report or law-enforcement request, Kavipay personnel shall not disclose this fact to the customer or to any unauthorised third party. Such disclosure constitutes the offence of tipping off and is prohibited under the Money Laundering (Prevention and Prohibition) Act 2022.

22. TRAINING AND AWARENESS

Kavipay shall maintain a structured AML/KYC training programme that ensures every employee, contractor and agent understands their responsibilities under this Policy and the underlying laws. The training programme shall include, at minimum:

- Mandatory induction training for every new joiner before they are granted production access to customer-facing or compliance-sensitive systems.
- Annual refresher training for every employee, with role-specific modules for customer-service, operations, compliance, risk, finance, technology and senior-management staff.
- Targeted training for the Compliance and KYC Operations Team covering typologies, screening tools, EDD procedures and STR drafting.
- Briefings on regulatory updates and emerging financial-crime typologies as required.
- Assessment and certification of training completion, with records maintained by the Human Resources function.

Failure to complete required training is a disciplinary matter and may result in suspension of system access until completion.

23. AUDIT, REVIEW AND NON-COMPLIANCE

23.1 Independent Audit

Kavipay's KYC programme shall be subject to independent audit at least annually. The audit may be performed by the Internal Audit function or by an independent external auditor. The scope shall include:

- Adequacy of policies, procedures and controls.
- Effectiveness of customer identification and verification at onboarding.
- Effectiveness of sanctions, PEP and adverse-media screening.
- Effectiveness of transaction monitoring and STR generation.
- Quality and completeness of customer records.
- Effectiveness of training and awareness.
- Implementation of audit recommendations from prior periods.

Audit reports, recommendations and management responses shall be presented to the Board of Directors.

23.2 Consequences of Non-Compliance

Non-compliance with this Policy is a serious matter. Employees who fail to comply with this Policy shall be subject to disciplinary action, up to and including termination of employment and reporting to law enforcement. Customers who fail to comply with the obligations imposed on them by this Policy shall have their access to Kavipay services restricted, suspended or terminated.

Non-compliance by Kavipay with the underlying regulatory framework may result in regulatory sanctions including monetary penalties, restrictions on business activity, withdrawal of licences and personal liability for directors and senior officers under the Money Laundering (Prevention and Prohibition) Act 2022.

24. POLICY REVIEW AND AMENDMENT

This Policy shall be reviewed by the Chief Compliance Officer at least once every twelve (12) months, and earlier where:

- There is a material change in applicable law or regulation.
- There is a material change in the Company's business model, products, channels or customer base.
- An audit, regulatory examination or risk event identifies a deficiency requiring policy update.
- The Board of Directors directs a review.

Material amendments require Board approval. Non-material clarifications and procedural updates may be approved by the CCO and reported to the Board at the next scheduled meeting. Each version of the Policy shall be numbered and dated, with previous versions retained in the Company's policy archive.

25. CONTACT AND REPORTING

All employees, customers and counterparties may direct questions, concerns or reports relating to this Policy to the following:

Chief Compliance Officer / MLRO	compliance@kavipay.io
KYC Operations	kyc@kavipay.io
Suspicious Activity Reporting (Internal)	report@kavipay.io
Whistleblowing (Confidential)	whistleblower@kavipay.io
Customer Support	support@kavipay.io
Registered Office	Kavipay Limited (a subsidiary of PloutosLabs International Ltd, RC-8059896), Abuja, Federal Capital Territory, Nigeria.

Suspicious Transaction Reports and Currency Transaction Reports shall be submitted to the Nigerian Financial Intelligence Unit (NFIU) at <https://www.nfiu.gov.ng> or by such electronic reporting channels as the NFIU shall direct from time to time. Concerns regarding regulatory compliance may also be raised directly with:

- The Central Bank of Nigeria (Consumer Protection Department).
- The Securities and Exchange Commission Nigeria.
- The Nigeria Data Protection Commission (NDPC).

**APPROVED BY THE BOARD OF DIRECTORS OF PLOUTOSLABS INTERNATIONAL LTD ON BEHALF OF
KAVIPAY LIMITED.**

_____	_____
Co-Founder & CEO	Co-Founder & Director
Ositadinma Precious	Ntima Kalu Ukpola
Date: _27th April 2026_____	Date: _27th April 2026____